26900185 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours) REGULAR EXAMINATION October 2026

Fifth SEMESTER

Skill Enhancement Course (SEC) - MG5SECECO301 - ECONOMICS OF RURAL ENTREPRENEURSHIP

(2024 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries **1** marks

1. Which of the following entrepreneurial activities is demonstrated when an entrepreneur studies customer needs before launching a product? [K] / [CO1]

   a). Resource mobilisation b). Production planning

   c). Risk-bearing d). Market research

2. How do Ministry of Rural Development and Panchayati Raj Institutions support rural entrepreneurship? [An] / [CO1, CO3]

   a). MoRD acts as a think tank; PRIs give suggestions.

   b). Both perform the same functions.

   c). PRIs fund projects; MoRD makes policies.

   d). MoRD makes policies; PRIs implement them locally.

3. A village has abundant traditional craft skills but limited opportunities for agricultural expansion. Which option would be most appropriate after evaluating the available resources? [E] / [CO3, CO5]

   a). Rural handicraft enterprise

b). Large-scale crop expansion

c). Aquaculture without suitable water resources

d). Plantation farming without available land

4. Which of the following is an allied agricultural enterprise? [U] / [CO1, CO5]

a). Poultry farming b). Retail shop

c). Mobile repair d). Carpentry

5. Which NABARD approach best reflects the changing needs of rural entrepreneurs? [E] / [CO1, CO3]

a). Agriculture alone

b). Withdrawal from rural enterprises

c). MSMEs, start-ups and market access

d). Urban industries only

6. An entrepreneur has abundant seasonal fruits. Which option would be the best way to increase their economic value? [E] / [CO5]

a). Immediate disposal b). Unplanned storage

c). Fruit processing d). Selling at a lower price

7. A farmer considers beekeeping only as a honey-producing activity. Which assessment would provide the more complete economic justification for the enterprise? [E] / [CO5]

a). Consider only the quantity of honey produced

b). Consider honey production as well as the contribution of bees to pollination

c). Consider only the number of bee colonies

d). Consider only the cost of bee boxes

8. A rural entrepreneur proposes to manufacture and sell packaged food products. Which approval is specifically connected with food safety? [A] / [CO3]

a). FSSAI registration or licence

b). Udyam Registration alone

c). Local-body building permit alone

d). GST registration alone

9. Which is the most appropriate entrepreneurial strategy for a community dependent on forest resources? [E] / [CO5]

a). Maximum extraction of resources

b). Sustainable harvesting

c). Selling all products to middlemen

d). Avoiding all processing activities

10. The entrepreneur is the _____, while entrepreneurship is the _____. [K] / [CO1]

a). Owner; resource b). Process; person

c). Manager; activity d). Person; process

11. Which of the following best describes a rural entrepreneurial ecosystem [U] / [CO1, CO3]

a). A system concerned only with agricultural production

b). A network of institutions, resources, markets and support systems that promote rural entrepreneurship

c). A government programme for providing agricultural subsidies

d). A group of rural consumers

12. Which set of factors provides the most comprehensive basis for assessing the entrepreneurial potential of a medicinal plant? [An] / [CO5]

a). Market demand, production cost and raw-material availability

b). Market demand, cultivation cost and traditional acceptance

c). Production cost, raw-material availability and traditional usage

d). Market demand, traditional acceptance and availability of land

13. Which factor is most directly related to the availability of trained workers for a rural enterprise? [U] / [CO1]

a). Brand colour b). Product label

c). Market slogan d). Skill gap

14. A rural food-processing unit projects 95% capacity utilisation in its first month without market evidence or working-capital changes. What is the most appropriate response? [An] / [CO3]

a). Accept the projection b). Revise and justify the assumptions

c). Remove the capacity section d). Increase the projected profit

15. A village has limited farmland but many skilled workers. Which opportunity would be more suitable? [E] / [CO5]

a). Large-scale farming b). Handicraft production

c). Crop cultivation d). Dairy farming

[1x15 = 15]

Part B

Short Answer Type questions

Answer any **10** questions

Each question carries **2** marks

16. Mention any two ways in which “Innovation and entrepreneurship are closely linked to economic development’ [An] / [CO1]

17. Compare primary processing and secondary processing, using suitable examples from agricultural products. [An] / [CO3, CO5]

18. Assess the importance of handicrafts as a rural non-farm entrepreneurship opportunity. [E] / [CO5]

19. Why is access to market information important for rural entrepreneurs? [U] / [CO1]

20. Outline the major procedures involved in obtaining formal finance for a rural enterprise, from the initial business proposal to sanction, documentation and disbursement. [U] / [CO3]

21. What are organic farm products? Give two examples. [U] / [CO5]

22. What is meant by a rural micro-enterprise? [U] / [CO1, CO5]

23. What are the main objectives and beneficiaries of Prime Minister’s Employment Generation Programme?. [U] / [CO1, CO3]

24. Evaluate the importance of proper disease management in poultry entrepreneurship. [E] / [CO3, CO5]

25. Mention any four entrepreneurial competencies relevant to a rural entrepreneur. [U] / [CO1, CO2]

26. What is a market survey? [A] / [CO4]

27. Why is mushroom cultivation considered a potential source of rural income and employment? [E] / [CO5]

28. What is entrepreneurship? [K] / [CO1]

[2x10 = 20]

Part C

Short Essay Type questions

Answer any **3** questions

Each question carries **5** marks

29. Compare the major theories of entrepreneurship and explain how each provides a different explanation of entrepreneurial behaviour. [An] / [CO2]

30. Design a branding and labelling plan for a rural product of your choice and explain how it can support market acceptance. [C] / [CO4]

31. Present how sericulture can be used as a rural entrepreneurship opportunity for employment generation, income diversification and rural livelihood development. [A] / [CO5]

32. Evaluate the potential of aquaculture as a rural entrepreneurship opportunity with reference to income generation, employment creation and utilisation of local resources. [E] / [CO5]

33. Examine the role of digitalisation, e-commerce and social media in the recent evolution of rural entrepreneurship. [U] / [CO1]

[5x3 = 15]